

bearish implications.

When the stock tried to reach the top trendline but could not, the partial rise foretold the coming decline. The stock plunged through the lower trending in late September and continued lower.

If you look at both chart patterns, their stories are nearly the same. There is a supply of stock available at a fixed price. After exhausting the supply, price either rises above the top trendline or declines below the bottom one. The determination on which way price will go is not clear. Sometimes supply overwhelms buying demand and the stock declines, unable to recover as the stock pierces the lower trendline. At other times, the supply tightens and enthusiastic buyers jump in and push the price higher.

Identification Guidelines

Are there some guidelines that can assist in identifying descending broadening formations? Yes, and [Table 10.1](#) outlines them.

Appearance. The shape of the broadening chart pattern looks like a megaphone with the top held horizontal. Price climbs until it touches the top trendline, and then reverses direction. On the pattern's bottom, price declines, making a series of lower lows, following a trendline downward.